

SOFI TECHNOLOGIES INC

February 17, 2026 - 7:05pm EST

by

althea

2026 2027

Price:	19.51	EPS	0	0
Shares Out. (in M):	1,391	P/E	0	0
Market Cap (in \$M):	27,130	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

SoFi Technologies Short Pitch

Preface:

If it looks like a duck, swims like a duck, and quacks like a duck... then it is probably a duck. Similarly, if it's *a bank holding company*, *Nil is 60% of net revenue*, and it is *the largest unsecured personal loan originator in the country*, then it probably should be valued like a balance sheet financial.

The entity in question is SoFi Technologies. We believe its days of masquerading as a fintech are coming to an end, as its breakneck growth in a risky credit class (consumer unsecured lending), already showing early signs of credit deterioration, is exacerbated by its target demographic's position in the crosshairs of AI disruption. If our thesis proves right, the predictable waning, and potential reversal, of superficial tailwinds from its "nuanced" accounting – namely its "fair value accounting" for loans and its capitalization of customer acquisition costs – are likely to catch analysts off-guard and exacerbate the unwind.

Introduction:

When SoFi was introduced to the public markets in 2021 via a Chamath Palihapitiya SPAC, they pivoted from their mundane student lending roots and sold a vision of becoming a tech-enabled holistic financial services provider to high-earning millennials. Instead of delivering on diversification into fee-based "financial services" and "technology" revenues, the company has, in actuality increasingly relied on unsecured consumer lending to drive growth. Today, we estimate that >90% of profits are tied, either directly or indirectly, to its lending activities.

SoFi's primary product is the fixed rate unsecured personal loan, generally considered a risky credit class given the lack of collateral and high loss rates. SOFI is now originating these personal loans at a \$30bn annualized pace, in a market that by our estimates only sees ~\$75bn of annual originations in their core credit box. SoFi's pace of originations has more than doubled over the last two years, and we believe they are now the largest unsecured personal loan originator by a notable margin. As a result, SoFi Bank now has >\$45bn of assets, up a staggering 47% Y/Y, with SoFi likely cracking the top 50 US Commercial Banks as of year-end 2025.

In what is an inherently commoditized sector (i.e. consumer lending), the key enabler of this growth has been the company's atypical accounting practices, which have front-loaded life-of-loan profitability though the aggressive use of fair value accounting and the capitalization of significant customer acquisition expenses. This has inflated earnings, book value, capital ratios, and the resulting stock price. To illustrate, we estimate that SoFi's reported \$7 of tangible book value per share is inflated by ~70% compared to what it would report under the amortized cost accounting with CECL that is typically employed by banks.

However, this "model" requires ever increasing origination volumes to perpetuate, and we believe numerous challenges are emerging which will make this unachievable. These include market saturation, increasing competitive intensity, and signs of deteriorating loan performance in recent ABS deals. Slowing growth will put immense pressure on SoFi's financials, as prior accounting benefits will subside and eventually unwind. As this happens, we expect the valuation paradigm will shift from "fintech" to "bank," and the stock should re-rate to a modest multiple of tangible book value. Using conventional accounting, we estimate this would suggest ~75% downside to the current stock price. Of course, given the incentives involved in any hyper-growth financial, it is easy to imagine further downside.

To summarize the key issues:

- **SoFi's core business – unsecured personal lending – is fundamentally commoditized, and now faces both market saturation and increasing competition:**
 - SoFi has no competitive advantage in issuing consumer loans, particularly given its reliance on high-cost deposits to fund this lending activity.
 - SoFi has rapidly saturated the personal loan market – we estimate they are now originating 25% of all prime personal loans and 40% within their target credit box (based on Transunion data).
 - This leaves the company vulnerable to pressure from competitors that are now stepping on the gas.
 - At the same time, signs of credit stress are beginning to surface in recent loan vintages (as evidenced by analysis of 2025 ABS deals).
- **Misunderstood and aggressive accounting elections are inflating earnings, book value and, critically, capital ratios:**
 - SoFi elects non-standard fair value accounting treatment for loans, which (using SOFI's assumptions) pulls forward profits to the point of origination and correspondingly requires ever-increasing origination volumes to prevent earnings from declining.
 - On average, SoFi's loans bear interest at ~13%, yet are being discounted for "fair value purposes at a <4.5% discount rate. This creates significant upfront gains that are inflating EBITDA, tangible book value, and capital ratios, relative to more typical bank accounting.
 - If SoFi employed standard amortized cost accounting with CECL, we estimated its stated CET1 ratio would be ~14%, far lower than the reported ~23% at year-end. This is only after raising >\$3bn of equity capital in H2, absent which the "normalized" CET1 ratio would've been just ~5% on our estimates. While we cannot represent to know exactly how regulators have evaluated SoFi's capitalization, we suspect that management's explanation of H2 equity raises as being purely "opportunistic" doesn't tell the whole story.
 - Thus, while SoFi's use of fair value accounting is understood, we do not believe the magnitude of its impact is appreciated or given proper attention.
 - Even less appreciated is that SoFi is capitalizing significant marketing expenses and amortizing them over a 5-year period.

- This treatment boosted 2024 pre-tax profit nearly 3x and, on our estimates (we will only be able to confirm with the release of its 10K), inflated 2025 adjusted profit by ~60%.

- **Non-lending businesses are of negligible value and likely to disappoint expectations near-term:**

- We believe SoFi's "fee-based" revenues are largely either tied to the company's lending activity, or are an inconsequential sideshow.
- SoFi lost Chime, which we believe to be its largest technology segment customer, in late 2025. Management notably presented 2026 guidance as a growth rate off its 2025 results "pro forma" for the loss of this customer, yet conspicuously declined to quantify what that pro forma result was.

- **Underappreciated AI risks:**

- SoFi targets the types of entry-level white-collar workers who are likely to be most at risk of job losses related to AI.

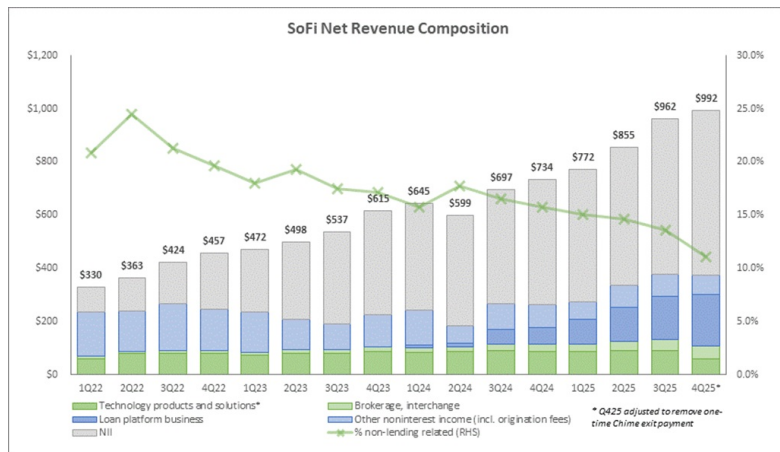
We believe these issues are coming to a head this year. As one indication, 2026 guidance was in-line with consensus estimates, but requires much faster than previously anticipated balance sheet growth (+\$10bn or 24% y/y). Since Q4 earnings, consensus estimates for SoFi's balance sheet at YE-2026 and YE-2027 are up 9% and 12%, respectively, while EBITDA forecasts are roughly flat. This clearly matters to the stock, which is down 14% since the earnings date (and down over a third since late 2025).

We believe this is just the beginning of the market coming to terms with a more capital intensive, more competitive, lower ROE business than management has suggested.

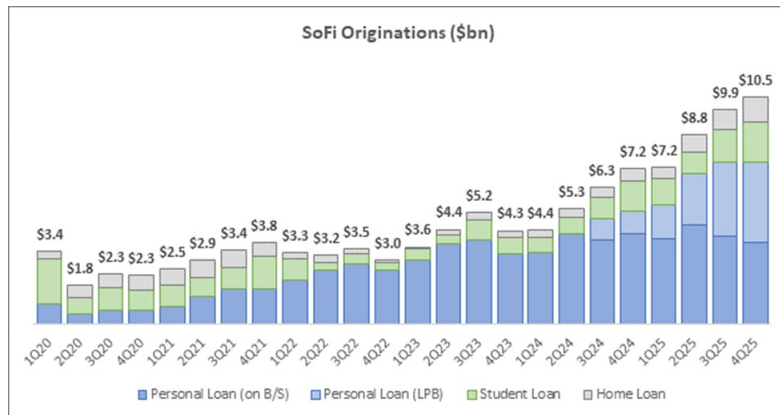
Thesis:

1) SoFi's core personal lending business is fundamentally commoditized and facing increased competition

While SoFi goes to great lengths to characterize itself as a financial services "platform," serving as a "one-stop-shop" for its customers across banking, brokerage and payment services, lending activities continue to dominate current revenue composition. NII is >60% of total net revenue, and of the balance, lending related activities drive the majority (shown in blue below). Technology-related and "fintech" revenues (represented in green below) are small, have been declining as a proportion of total, and we believe are largely irrelevant to valuation as we will discuss later in the write up:



Thus, the bulk of our analysis will be focused on SoFi's lending business, of which the substantial majority (and majority of growth) is unsecured personal loans:



SoFi offers personal loans with fixed rates over 2-7 year terms, in sizes ranging from \$5-100k. Borrowers are often looking to consolidate credit card or other debt. Importantly, at the risk of stating the obvious, the personal loan is a commodity. The product is largely standardized across lenders, pricing transparency is high, and the decision is financially consequential to most borrowers, warranting research and price comparison, an exercise that is easily facilitated by a variety of online marketplaces.

In theory, SoFi's strategy is to use the commodity personal loan product as a "customer acquisition vehicle," and improve firmwide ROE by cross-selling the aforementioned financial services offerings. However, given the relatively limited traction of these products to-date, the standalone attractiveness of the company's personal lending activities remains the most pertinent question facing investors. SoFi has been growing very fast in a commoditized market – this can only be achieved by offering more aggressive pricing than competitors are willing or able to. In the absence of any conceivable cost advantages (particularly given the lack of a real deposit franchise), this should raise serious concerns for equity holders.

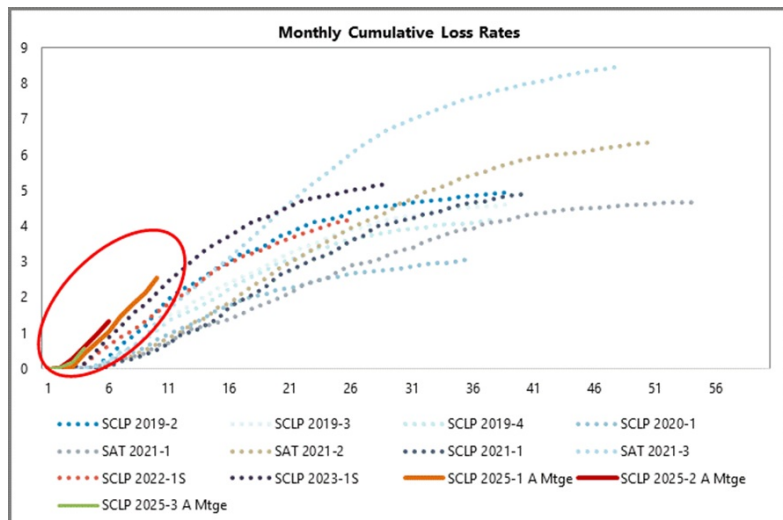
Looking forward, we see several emerging issues that should make it challenging for SoFi to maintain the levels of origination growth that are necessary to meet investor expectations:

SoFi is running out of room in the personal loan market:

We estimate that SoFi is now responsible for ~1/4 of all prime unsecured personal loan originations, a \$99bn market in the twelve months to 06/30/25 per Transunion. Moreover, SoFi is driving a huge proportion of the growth in this market, accounting for ~60% of total origination growth over this period. Within their narrower "prime-plus" / "super prime" credit box (>720 FICOs) the situation is even more dramatic: SoFi has ~40% share of originations and has represented ~80% of LTM market growth. Market share in their credit box has doubled from <20% just two years ago. SoFi's rapid saturation should make origination growth much harder to come by going forward.

Signs of credit deterioration are emerging:

Consistent with our view that SoFi is probably close to saturating the addressable market for personal loans, signs of credit stress are beginning to emerge. This can be seen most clearly in 2025 ABS vintages, where initial cumulative loss rates are running well ahead of prior vintages, as shown below:



This is occurring in a consumer credit backdrop that otherwise remains generally benign, suggesting idiosyncratic stressors.

Competitors are signaling a desire to lean into growth:

Key competitors are sensitive to the fact that SoFi is being rewarded by the market (via a lower cost of equity) for pursuing growth at all costs, and are leaning into growth in response:

- Upstart signaled on their Q4 earnings call last week that they are ready to pursue faster growth after a "multi-year rebuild." Commentary on the call was explicit that they are prepared to get aggressive on pricing to do this.
 - They discussed wanting to "press [their] advantage" of having the "best rates" and also claimed that they would "consider the long-term value of acquiring a customer and the reputation value of saving them more money than anyone else," in the process amusingly analogizing their business to CostCo.
 - They also expect to continue to experience take rate compression, which was tied directly to further expansion in the super prime credit box, directly competitive to SoFi.
- LendingClub has guided to >\$12bn of origination volume in 2026, accelerating Y/Y growth in \$ terms.

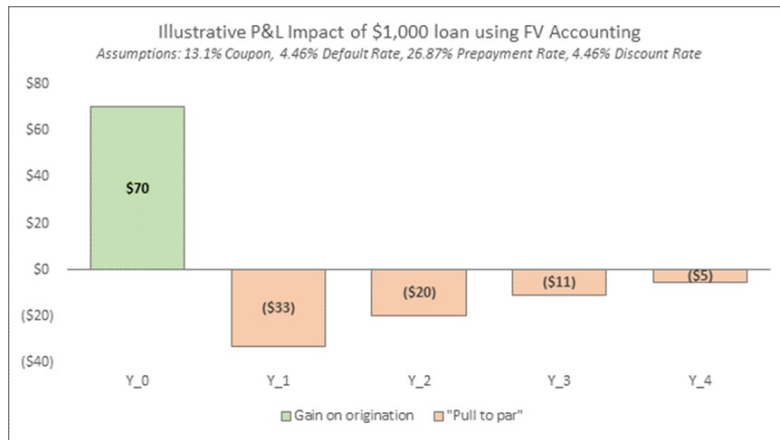
Consensus estimates envision SoFi's personal loan originations growing from \$27bn in 2025 to \$50bn in 2028, and its balance sheet growing from \$50bn to >\$85bn, the primary driver of EPS growth from \$0.40 in 2025 to ~\$1.00 forecast for 2028. Thus, future earnings power will be extremely sensitive to any hiccup in origination growth or lending performance, a dynamic that is further exacerbated by the accounting issues we'll detail next.

2) SoFi is employing unusual and aggressive accounting treatments that unsustainably flatter near-term profitability

Fair Value accounting:

Unusually among large US banks, which typically use CECL accounting, SOFI has elected to hold loans on their balance sheet at "fair value." In theory there is nothing inherently inappropriate or deceptive about this. However, in practice, we believe SoFi is abusing the treatment by a) using a very aggressive discount rate in the calculation of fair value, and b) burying the earnings contribution within the noninterest income line item.

The primary difference of FV accounting vs. CECL is that the Fair Value election, as employed by SoFi, pulls forward accounting profits, concentrating them significantly at the point of origination. SOFI abuses this election, in our opinion, by using an absurdly low **4.46%** discount rate to value these loans, a mere 115bps spread to the company's own stated "benchmark." Keep in mind, this is for an **unsecured** personal loan product that charges ~13% interest. We estimate these assumptions result in at least a 7% mark-up on originated loans on day 1, which then "unwinds" over the remaining life of the loan, as illustrated below:

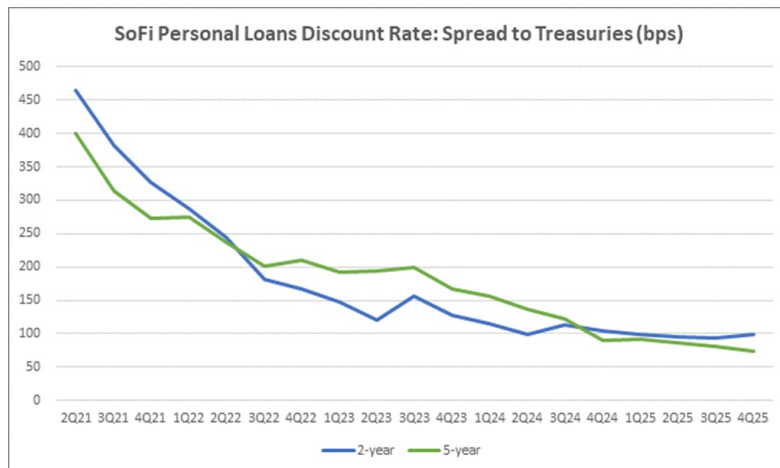


SoFi's approach differs notably from relevant peers:

- LendingClub has shifted to Fair Value accounting for loans originated from January 1, 2026 onwards, potentially in competitive response to SoFi.
 - However, in sharp contrast to SoFi, LendingClub has indicated they will be using a >7% discount rate to mark their unsecured personal loans, which will result in the loans being held at a modest discount to par on day one.
- Upstart is similarly marking its on-balance sheet loans, which comprise a small portion of its total originations, at fair value using a 9.5% weighted average discount rate as of 12/31, reinforcing this point.

For a bank such as SOFI that is rapidly growing originations, this is a significant tailwind to near-term profitability relative to a bank using amortized cost & CECL accounting. While it is reasonably well understood among analysts and institutional investors following the company that SoFi is using fair value accounting, we believe the importance of this issue is underappreciated, in no small part due to financial presentation on the company's part that we find to be highly obfuscatory.

It is very difficult to tease out the exact earnings impact from a) fair value gains on origination, b) changes in fair value due to valuation assumption changes and c) the unwind or "pull-to-par" effect of the back-book. However, we know that fair value accounting inherently front-loads profits associated with origination, and that the lower the discount rate used the more front-loaded earnings are. As it happens, SoFi has consistently marked its personal loans at ever-tighter spreads to treasuries, a "knob" that appears to have little additional room to be turned in their favor:



A key consequence of this reporting is that growth in profitability should be much more closely tied to origination growth than a bank using traditional accounting (or less aggressive FV assumptions). This requires SoFi to generate ever-larger origination volumes each year, which we expect they will be challenged to do per the discussion in the prior section.

Further, the Fair Value election not only flatters profitability, but correspondingly inflates book value and regulatory capital (via retained earnings). Under CECL, a typical bank would record the loan at cost, net of a reserve for life-of-loan losses. By contrast, SoFi, as we've established, is booking an upfront gain. These differences net out over the life of a loan, but inherently flatter the book value and capital ratios of a fast-growing bank such as SoFi, as we'll quantify below.

Marketing cost capitalization:

A second and largely overlooked accounting election that we believe has materially inflated earnings over the last two years is the capitalization of \$100s of millions of dollars of "incremental costs of obtaining contracts with customers," which they appear to be amortizing over a 5-year life, rather than immediately expensing to match the associated lending profits.

In 2023 and 2024 SOFI capitalized \$66m and \$177m of sales and marketing spend that they appear to be amortizing over a 5-year period. These amounts are carried within prepaid expenses on the balance sheet, and have been buried within Other Assets in quarterly reporting and only disclosed annually in the 10-Ks. We estimate that capitalized spend may have been ~\$250m in 2025, to be confirmed in the 10-K due later this month.

\$mm	2023	2024	2025E
Capitalized incremental costs of obtaining certain contracts			
Beginning of period	0	61	213
Less: amortization	5	24	55
Plus: implied spend	66	177	251
End of period	61	213	409
Excess of spend over amortization	61	153	196
% of profit before tax	n/a	65.4%	37.3%

As shown in the table above, given the extended amortization period and dramatic ramp in spending, this election flattered the income statement by \$153m pre-tax in 2024 (the excess of cash spend vs. the amortized amount), and we estimate it may have reached \$200m in 2025. This is *enormous* in the context of Adj. Net Income of \$227m and \$481m in 2024 and 2025, respectively.

It's important to underscore the fundamental disconnect between the treatment of these marketing expenses, which defer customer acquisition expenses over multiple years, and the FV treatment of the associated loans that is dramatically pulling forward net revenue recognition. While the company's disclosure regarding this very material accounting item is sparse, we think they rationalize this treatment by allocating a portion of customer acquisition expenses to the expected future value from cross-selling other products. This conclusion is based on the notable use of the word "incremental" to describe these marketing costs, which, according to our trusty LLM, points directly to the use of ASC 340-40. Given the relative financial contribution of these businesses, as discussed above, this appears to be an extremely generous interpretation of the relevant accounting standards.

While these issues may seem arcane, the practical implications for valuation and the trajectory of earnings are crucial:

- Much more than a typical bank, SOFI's ability to grow earnings is highly dependent on its ability to grow originations. As originations growth slows, the twin earnings tailwinds from a) fair value accounting and b) marketing expense deferral will mechanically dissipate and potentially reverse.
- These accounting elections are highly distortionary to balance sheet and capital metrics:
 - Taking SoFi's stated \$8.9bn of tangible common equity capital at year-end 2025 and removing \$1.6bn of tax-adjusted cumulative FV adjustments on loan balances and deducting a) the \$1.7bn of CECL reserves they would carry in the counterfactual scenario and b) \$409m of capitalized marketing expenses implies a "comparable" tangible book value, on our estimates, of \$5.2bn, **40% less than reported and just ~\$4 per share**.
 - This similarly suggests that SOFI's stated CET1 capital ratio – an optically healthy 23% – would be <14% under more conventional accounting practices. Moreover, this level was only reached after the company raised >\$3bn of capital in H2-25, absent which their "normalized" capital ratio would've been ~5% by our estimates, the lowest ever.
 - As stated previously, we can't profess to know exactly how regulators are assessing SoFi's capital position, but the circumstantial evidence suggests to us that H2 capital raises may not have been as "purely opportunistic" as management has represented.
- Even if you dismiss our framing of like-for-like book value as overly academic or theoretical, the practical implication of fair value accounting inflating book value should be *lower ROEs*, and correspondingly a *lower multiple of book*, relative to peers using conventional accounting standards.

3) "Fee-based revenues" are either tied to the lending business or inconsequential to value

As previously mentioned, SoFi makes a big deal of its efforts to develop capital light, "fee-based" revenue streams that would in theory justify a higher multiple. The revenues that SoFi defines as "fee-based" fall into three general buckets: a) interchange and brokerage fees, b) B2B financial software and payment processing revenues generated by the "Technology Services" segment, and finally c) revenue streams that are ultimately tied to origination activity, including origination fees and Loan Platform Business fees.

Taking each of these in turn:

- Interchange and brokerage revenue are associated with SOFI's efforts to build out a holistic financial "super-app." These revenues are growing quickly, undoubtedly benefiting from cyclical tailwinds in 2025, but they remain small (\$154m last year), and importantly are unprofitable.
 - Needless to say, SOFI is operating in a very competitive space here, where we believe they will be challenged to grow profitably.
- Within "Technology Services," SoFi has just lost their largest customer – Chime – which should weigh heavily on growth this year.
 - Management was very cagey about their expectations for growth from the Technology Services business in 2026, guiding to 20% growth "normalized for" the loss of Chime, yet refusing to quantify Chime's contribution.
 - Chime stated publicly that they made a \$33m termination payment in Q4, which SoFi acknowledged they recognized as revenue in the period (without confirming the amount).
 - Generously assuming that the termination fee was the only Chime revenue recognized in Q4 would imply that Chime comprised ~27% of revenue in Q4. If we use this as our full year assumption for Chime's proportionate contribution, then SoFi's commentary suggests this business could shrink on a full-year basis in 2026 (\$100 less \$27 = \$73 x 20% growth = \$88m, or -12% y/y growth), implying underperformance vs. consensus expectations that the business can be flat.
 - We thus expect the Technology Platform business to contribute well less than 10% of EBITDA in 2026, and given the recent de-rating of comparable software businesses in the public markets, we don't think this business is overly consequential relative to the current market cap.
- Finally, there are origination fees and the loan platform business.
 - Origination fees are tied to on-balance sheet loan origination, and thus "capital intensive" revenues. We think they should largely be considered in tandem with lending activities.
 - The Loan Platform Business has been much touted by the company and bulls as validation of the value of the company's lending business.
 - However, many of the issues that we have with the core lending business hold here as well:
 - It's ultimately a commodity business, competing with UPST, LC and others

- Competition is increasing – as one example we can observe that UPST’s take rates have compressed from 9.4% in late 2023 to 7.0% in Q4-25, with further compression expected in 2026 per company commentary.
- Ultimately the economics are cannibalistic of the on balance sheet lending business over the life of the loan.

4) SoFi’s borrower base seems likely to be “ground zero” for AI-related employment pressure

We won’t belabor this point, but SoFi targets educated, prime borrowers that may prove to be the first to feel the effects of pressure on entry-level white collar knowledge workers that the market is widely anticipating. While much remains to be seen here, we would simply observe that there seems to be a disconnect between a) the widespread knowledge work disruption implied by many equity prices in the market today and b) the lack of concern about knock-on consequences for unsecured consumer credit.

We don’t want to overstate the importance of this to our thesis, as we believe the idea stands on its own merit even without such adverse macroeconomic developments. These risks simply offer unpriced downside optionality, particularly given SoFi’s ongoing rapid growth into this specific subsegment.

Valuation framing:

At current prices, we believe shorting SoFi offers an exceptional risk/reward skew. On the company’s own 2028 earnings framework it trades for 16x EPS, quite rich for what would be, in an optimistic case, a mature consumer lender. To the downside, we think a reasonable “target price” is somewhere between stated tangible book value of \$7 and the ~\$4 we estimate it would report under CECL. However, given the growth-at-all costs mentality at the company, and the incentives this creates, we believe there is a meaningful probability of further downside.

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I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer’s securities.

Catalyst

Origination growth deceleration

ABS credit developments

Messages

Subject Questions
Entry 02/19/2026 12:41 AM
Member david101
 althea,

Thanks for the write-up. Have some questions:

1. What is the average duration of the personal loans?
2. With regard to the accounting gimmicks, how does this show up in the statement of cash flows? In some ways, it is like an on-balance sheet version of the GOS issues from a quarter century ago.
3. How big are the ABS deals relative to the loans held on the balance sheet?

David

Subject Re: Questions
Entry 02/21/2026 08:00 PM
Member acm2025
 Would also be curious as to your thoughts here, if you see these questions.

Subject Re: Re: Questions
Entry 02/26/2026 06:58 PM
Member althea
 Hi guys:

Regarding duration, relying on the ABS data, weighted average maturity of the Personal Loans (at origination) appears to be ~5 years. We estimate that effective duration is ~2 years (moderately less than WAL of ~2.5 year given prepayments).

Regarding the accounting, both the aggressive FV assumptions and marketing expense capitalization have the effect of pulling forward GAAP profit recognition relative to cash flow.

The ABS deals we highlighted as demonstrating deteriorating credit performance (SCLP 2025-1, -2 and -3) were \$1.6bn in total at origination. This is compared to \$27bn of PL originations last year and \$20bn of PL on the balance sheet (UPB basis) at year-end.

A few additional developments to note:

- The 10K published last week shows that marketing expense capitalization was a net \$194m tailwind to reported earnings vs. the counterfactual of immediate expensing. This is close to our estimate, but notably the associated amortization charge in Q4 stepped down q/q (\$15m in Q3 -> \$13m in Q4). This doesn't make much sense in the context of a growing asset, and suggests they may have extended the useful life assumption (on a starting assumption that struck us as very aggressive). So more gamesmanship here.
- ABS data for February out this week looks confirmatory for the thesis, with a continuation of diverging trends vs. older vintages. 2025-1 has now breached the deal's CNL trigger level with a CNL of 2.97% vs. trigger level of 2.6%. So it's clear that credit is trending notably worse than expectations.
- Marqueta - a competitor to SoFi's Galileo business within "Tech Platform" - highlighted pricing pressures on their Q4 call Tuesday, which seems incrementally concerning for growth prospects in this space. Additionally, we hadn't appreciated that intercompany revenues accounted for nearly all of revenue growth for this segment at SoFi in 2025. Backing this out, external revenues grew just 2%, and this is before the impact of the Chime loss.

Subject short report
Entry 03/17/2026 08:38 PM
Member dannny
 thanks for the pitch. thoughts on the MW report & mgmt response?

Subject Fair Value Adjustment as % of EBITDA
Entry 03/18/2026 06:27 PM
Member BenHillGriffin

Hi Althea, thanks for a very interesting idea. Is this a reasonable way to isolate the fair value adjustment contribution to earnings or do you think I am overstating your case?

In the table below (page 174 of 10K), we can see there were cumulative 1.937bn of fair value adjustments to loans at fair value vs 1.153bn a year ago. That difference (800mm) ran through the P&L and represents essentially 80% of Adjusted EBITDA. If they simply originate the same number of loans next year with no mark-up to fair value, EBITDA would fall 80%? I want it to be this simple, but I am sure it is not....

Loans Measured at Fair Value

The following table summarizes the aggregate fair value of our loans for which we elected the fair value option. See Note 15, Fair Value Measurements for the assumptions used in our fair value model.

	Personal Loans	Student Loans	Home Loans	Total
December 31, 2025				
Unpaid principal balance	\$ 20,243,217	\$ 12,875,440	\$ 1,133,329	\$ 34,251,986
Accumulated interest	151,079	58,277	4,888	214,244
Cumulative fair value adjustments	1,146,372	723,361	66,898	1,937,131
Total fair value of loans⁽¹⁾	\$ 21,540,668	\$ 13,657,078	\$ 1,205,115	\$ 36,403,361
December 31, 2024				
Unpaid principal balance	\$ 16,589,623	\$ 8,215,629	\$ 149,862	\$ 24,955,114
Accumulated interest	128,733	44,603	260	173,596
Cumulative fair value adjustments	814,060	337,136	2,374	1,153,530
Total fair value of loans⁽¹⁾	\$ 17,532,396	\$ 8,597,368	\$ 152,496	\$ 26,282,260

Subject Q1 Update
Entry 05/04/2026 12:32 PM

Member

althea

Some thoughts below on SoFi's Q1 results:

- For their Personal Loan fair value marks (which are a *large* driver of their accounting), they:
 - Meaningfully reduced their spread assumption (that feeds into the discount rate they use), now marking their Personal loans at an all-time low 99bps spread to benchmark, down from 115bps last quarter.
 - Simultaneously, increased their estimated default rate assumption by 11bps, now up 29bps over the last three quarters.
- LPB trends seem VERY ominous, and foot with concerning trends in ABS.
 - LPB origination slowed down, and economics deteriorating:
 - Originated \$3bn via the LPB, down from \$3.7bn QoQ. This was the first sequential decline seen since the program began. This was not flagged ex ante (consensus expected \$3.8bn), nor was a convincing explanation provided on the call.
 - Simultaneously, Loan Platform Fees as a % of LPB originations fell to 3.9%, from 4.6% in Q4 and an average of 4.4% over the life of the program through Q4-25.
 - As a reminder, we estimate they are initially marking loans held on their balance sheet at ~108%, which appears inconsistent with selling loans via LPB at 104%.
 - This coincides with continued underperformance of 2025 ABS vintages relative to prior years. 2025-1 breached its CNL trigger level in January, accelerating principal paydown, it appears that 2025-2 will likely do the same in May and 2025-3 and 2025-4 are demonstrating similar CNL trends. We believe this will weigh on sponsor returns, and in turn pricing for SOFI's loans, consistent with the fee dynamics observed in the quarter.
- Updated outlook looks supportive of our thesis
 - Q2 was guided well below consensus, with EBITDA seen down Q/Q
 - First time since going public that they haven't increased annual guidance. Guide now looks even more back half loaded, with a major step-up in H2 earnings required.
 - While overall guidance for the year was reiterated, the composition is worse, now even more weighted to lending. Using consensus as a proxy, 2026 estimates for Tech Platform "contribution profit" has been cut by 55%, and Financial Services cut by 8%, with an offsetting 17% increase in the Lending segment.
- "Cash Revenue": Anthony Noto used this newly introduced term 7 times in the first 6 sentences!
 - Introducing new KPIs, particularly without explaining them or why they are being used, should raise antennas.
 - This metric, as defined by SoFi, excludes gross write-offs (i.e. the cost of credit), which is the main reason it was greater than reported net revenue last year.
 - This cash revenue metric will likely mechanically be growing faster than reported net revenue in coming periods so we expect they'll attempt to pivot to emphasizing this metric.
- Capitalized expenses:
 - Said these are tied to Financial Services business. Just as one data point, they have capitalized more marketing expense, net of amortization (\$461m as of 12/31), than all interchange and brokerage revenue since becoming a bank in 2022 (\$382m).
 - They are capitalizing ~\$280m of run-rate marketing expenses to support ~\$200m of run-rate interchange and brokerage revenue.

In response to prior questions:

@dannny Regarding the MW short report, we haven't been able to independently confirm all of their assertions, and at times we found the discussion to have perhaps missed the forest for the trees. That said, they did raise a number of interesting new data points and fact patterns, that are likely symptomatic of the broader, fundamental issues that we've raised here.

@BenHillGriffin unfortunately it is not quite that simple. The main issue is that SoFi hedges interest rate risk, which, as an example, causes lower benchmark rates to drive higher loan fair values, offset by losses on derivatives, and vice versa. You can find this in the K's and Q's by CTRL+F'ing "Economic Derivative Hedges of Loan Fair Values." There is some additional noise from loan sale activity, but we believe looking at "In period originations, loan sales execution and fair value adjustments" net of "economic derivative hedges" is a decent proxy for the contribution of FV marks, net of pull-to-par, to earnings.